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6. Sales return book is used to record

(a) Returns of goods by the customer for which cash is paid immediately

(b) Returns of goods by the customer for which cash is not paid immediately

(c) Returns of assets by the customer for which cash is not paid immediately

(d) Returns of assets by the customer for which cash is paid immediately

7. Purchases of fixed assets on credit basis is recorded in

(a) Purchases book (b) Sales book

(c) Purchases returns book (d) Journal proper

8. The source document or voucher used for recording entries in sales book is

(a) Debit note (b) Credit note

(c) Invoice (d) Cash receipt

9. Which of the following statements is not true?

(a) Cash discount is recorded in the books of accounts

(b) Assets purchased on credit are recorded in journal proper

(c) Trade discount is recorded in the books of accounts

(d) 3 grace days are added while determining the due date of the bill

10. Closing entries are recorded in

(a) Cash book (b) Ledger

(c) Journal proper (d) Purchases book

Answer

1. (c)	2. (a)	3. (c)	4. (a)	5. (a)	6. (b)	7. (d)	8. (c)	9. (c)	10. (c)

II Very short answer questions

1. Mention four types of subsidiary books.
2. What is purchases book?
3. What is purchases returns book?
4. What is sales book?
5. What is sales returns book?
6. What is debit note?
7. What is credit note?